

LOOK AT ALL THE MONEY I'VE LOST: I DIDN'T BUY IT!

We'd all be much richer today if we'd put all our money into Crown, Cork, and Seal at 50 cents a share (split-adjusted)! But now that you know this, open your wallet and check your latest bank statement. You'll notice the money's still there. In fact, you aren't a cent poorer than you were a second ago, when you found out about the great fortune you missed in Crown, Cork, and Seal.

This may sound like a ridiculous thing to mention, but I know that some of my fellow investors torture themselves every day by perusing the "ten biggest winners on the New York Stock Exchange" and imagining how much money they've lost by not having owned them. The same thing happens with baseball cards, jewelry, furniture, and houses.

Regarding somebody else's gains as your own personal losses is not a productive attitude for investing in the stock market. In fact, it can only lead to total madness. The more stocks you learn about, the more winners you realize that you've missed, and soon enough you're blaming yourself for losses in the billions and trillions. If you get out of stocks entirely and the market goes up 100 points in a day, you'll be waking up and muttering: "I've just suffered a \$110 billion setback."

The worst part about this kind of thinking is that it leads people to try to play catch up by buying stocks they shouldn't buy, if only to protect themselves from losing more than they've already "lost." This usually results in real losses.

I MISSED THAT ONE, I'LL CATCH THE NEXT ONE

The trouble is, the "next" one rarely works, as we've already shown. If you missed Toys "R" Us, a great company that continued to go up, and then bought Greenman Brothers, a mediocre company that went down, then you've compounded your error. Actually you've taken a mistake that cost you nothing (remember, you didn't lose anything by not buying Toys "R" Us) and turned it into a mistake that cost you plenty.

If you failed to buy Home Depot at a low price, and then bought Scotty's, the "next Home Depot," then you probably made another mistake, because Home Depot is up twenty-five-fold since it came public, and Scotty's is up only 25–30 percent, underperforming the general market over the same period.

The same thing happened if you missed Piedmont and bought People Express, or you missed the Price Club and bought the Warehouse Club. In most cases it's better to buy the original good company at a high price than it is to jump on the "next one" at a bargain price.